

DANGOTE REFINERY & PETROCHEMICALS FZE

IS ₦525 FAIR?

Dangote Refinery IPO — Investment Research Report

A practical look at the refinery’s operating performance, earnings, valuation, funding needs and key risks.

₦525 IPO OFFER PRICE	\$47.82B POST-IPO EQUITY VALUE	\$13.91B H1 2026 REVENUE
\$1.82B H1 2026 NET PROFIT	\$24.50/bbl H1 2026 REFINING MARGIN	\$1.40B H1 2026 NET DEBT

INVESTMENT
VIEW

WAIT / WATCH
The refinery has shown a major operating turnaround. The key question at ₦525 is whether the strong H1 2026 earnings can hold long enough to justify the price.

Prepared by CryptoKnight / Bleezysmart
Financial & Data Analytics | Investment Research
September 2026

02 — CONTENTS

02 — Contents

Everything in this report follows the work already done in the PostgreSQL model and Power BI dashboard.

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**HOW TO READ
THIS REPORT**

The report uses the same numbers, definitions and scenario framework as the final six-page Power BI dashboard. Reported figures, analyst calculations, assumptions and scenario outputs are kept separate.

01 — EXECUTIVE SUMMARY

01 — Executive Summary

The short version: the business has improved sharply, but the price leaves less room for mistakes.

\$13.91B H1 2026 REVENUE	\$1.82B H1 2026 NET PROFIT	83.6% UTILISATION	\$24.50/bbl REFINING MARGIN
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Dangote Refinery has moved from a heavy ramp-up phase into meaningful commercial operation. In our model, H1 2026 revenue was \$13.91B and net profit was \$1.82B. Capacity utilisation rose from 34.6% in FY2024 to 63.1% in FY2025 and 83.6% in H1 2026.

The valuation is where the debate starts. At ₦525 per share, our model gives a \$47.82B post-IPO equity value and a \$49.22B business value after net debt. Using the 10× EV/EBITDA assumption we set for this project, the business would need about \$4.92B of sustainable operating earnings. Annualised H1 2026 gives about \$5.20B, leaving only about \$280M of headroom.

VALUATION CHECK

The model does not need Dangote to fail. It needs H1 2026 earnings to stay strong enough, because the current price leaves a relatively small cushion if margins or utilisation weaken.

Our scenario table gives ₦314 in Stress, ₦369 in Bear, ₦446 in Base, ₦534 in Strong and ₦588 in Bull. The ₦525 offer price sits above the Base case.

The biggest question is therefore not whether Dangote can make money. It is whether the current level of earnings can survive more normal refining conditions. H1 2026 refining margin was \$24.50/bbl, versus \$13.70/bbl in FY2025 and \$10.70/bbl in FY2024.

BOTTOM LINE

At ₦525, the valuation depends heavily on strong earnings continuing. We would want more evidence that the H1 2026 earnings level is sustainable before treating the current price as comfortably supported.

02 — INVESTMENT QUESTION & APPROACH

02 — Investment Question & Approach

We are not trying to prove that Dangote is good or bad. We are testing whether ₦525 is supported by the numbers.

The question: Is ₦525 a reasonable price for the earnings power the refinery can sustainably produce?

What we tested:

- Operating performance and utilisation
- Profitability and cash generation
- Product revenue and mix
- Global peer context
- Expansion funding and financial flexibility
- Valuation and downside scenarios

**KEEP THESE
SEPARATE**

We kept reported figures, our calculations, our assumptions and scenario outputs separate. The 10× EV/EBITDA multiple and annualised H1 2026 earnings are analytical tools, not company forecasts.

Annualised H1 2026 simply means $H1\ 2026 \times 2$. It is a run-rate, not a forecast that H2 2026 will definitely be the same.

The peer section follows the same rule. We show the numbers we collected, but we do not pretend every company's refining-margin definition is exactly the same.

03 — IPO & COMPANY OVERVIEW

03 — IPO & Company Overview

The IPO gives public investors access to a refinery that is already operating at large scale.

₦525 OFFER PRICE	4.10B NEW SHARES	₦2.15T GROSS PROCEEDS
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The public offer is for 4.1 billion shares at ₦525 each. Our model uses approximately 120.129B pre-IPO shares and 124.229B post-IPO shares. The new shares are primary capital for the company rather than an exit by an existing shareholder.

Item	Our model	Why it matters
Pre-IPO shares	120.129B	Existing share base
New IPO shares	4.10B	Primary capital raise
Post-IPO shares	124.229B	Used for equity value
Equity value	\$47.82B	Value at ₦525 using project FX convention
Business value	\$49.22B	Equity value + net debt

IPO PROCEEDS	The project treats the IPO as a primary raise. The proceeds go into the company and are part of the funding picture for expansion.
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04 — REFINERY & INDUSTRY CONTEXT

04 — Refinery & Industry Context

A refinery makes money from the spread between crude costs and the value of the products it sells.

For this project, the main operating drivers are crude supply, utilisation, product prices, refinery configuration, logistics and the wider refining-margin environment.

Dangote's scale matters. The refinery is currently around 700K bpd and the expansion plan targets about 1.4M bpd. It has also become a significant supplier of jet fuel and other products into export markets.

**WHY MARGINS
MATTER**

Refining is cyclical. A very strong margin period can make a refinery look more profitable than it will across a normal cycle. That is why the move from \$10.70/bbl in FY2024 to \$13.70/bbl in FY2025 and \$24.50/bbl in H1 2026 matters so much to the valuation.

We therefore use refining margin as one of the main variables in the scenario analysis rather than assuming the H1 2026 number continues forever.

05 — OPERATING PERFORMANCE

05 — Operating Performance

This is the strongest part of the story.

\$13.91B H1 2026 REVENUE	~\$2.60B H1 2026 EBITDA	18.7% EBITDA MARGIN	\$1.27B OPERATING CASH FLOW
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H1 2026 revenue was already higher than FY2025 full-year revenue. Revenue increased from \$6.34B in FY2024 to \$12.33B in FY2025 and \$13.91B in H1 2026.

Period	Capacity	Utilisation	Throughput	GRM
FY2024	650K bpd	34.6%	225K bpd	\$10.70/bbl
FY2025	650K bpd	63.1%	410K bpd	\$13.70/bbl
H1 2026	700K bpd	83.6%	585K bpd	\$24.50/bbl

WHAT CHANGED

The turnaround is not just one good profit number. The refinery is processing more crude, using more of its capacity and generating stronger margins at the same time.

06 — FINANCIAL PERFORMANCE

06 — Financial Performance

The financial statements show the operating improvement clearly.

Period	Revenue	Gross margin	Operating margin	Net margin	Net profit
FY2024	\$6.34B	-9.46%	-10.03%	-23.81%	-\$1.51B
H1 2025	\$5.56B	2.61%	1.08%	-5.07%	-\$280M
FY2025	\$12.33B	1.86%	1.19%	-3.86%	-\$480M
H1 2026	\$13.91B	17.94%	17.00%	13.09%	\$1.82B

Net profit moved from a \$1.51B loss in FY2024 to a \$480M loss in FY2025 and then to a \$1.82B profit in H1 2026. Gross and operating margins improved in the same direction.

Operating cash flow also improved: about -\$2.61B in FY2024, \$540M in H1 2025, \$1.20B in FY2025 and \$1.27B in H1 2026.

CASH-FLOW
NOTE

Another reporting-accountant extract showed a different H1 2026 CFO figure. We have not quietly replaced the model number. It remains a reconciliation item for future updates.

07 — REVENUE & PRODUCT MIX

07 — Revenue & Product Mix

PMS, AGO and jet fuel make up most of H1 2026 revenue.

Product	H1 2026 revenue	Approx. share
PMS	\$5.91B	42.5%
AGO	\$3.50B	25.2%
Jet Fuel	\$3.30B	23.7%
RCO	\$870M	6.3%
CBFS	\$154M	1.1%
Polypropylene	\$102M	0.7%
LPG	\$68M	0.5%
Propane	\$7M	0.1%
Total	\$13.91B	100.0%

DATA-QUALITY
CORRECTION

The original working dataset had only five H1 2026 product lines and did not reconcile to the reported \$13.91B total. We added CBFS, LPG and propane from the verified H1 disclosure. We did not invent missing volumes or realised prices.

The correction matters because the product table now ties back to the total revenue used in the dashboard and valuation work.

08 — PEER COMPARISON

08 — Peer Comparison

How does Dangote compare with global refiners?

Peer	Market value	Utilisation	Margin benchmark
Valero Energy	\$110.98B	98.0%	\$12.29/bbl
Marathon Petroleum	\$110.94B	94.0%	\$16.87/bbl
Phillips 66	\$103.15B	94.0%	\$10.88/bbl
Tüpraş	—	92.6%	\$7.00/bbl
HF Sinclair	\$19.15B	89.1%	\$15.37/bbl
Dangote Refinery	\$47.82B	83.6%	\$24.50/bbl

The interesting part is the combination: Dangote’s utilisation is lower than the listed peers in our set, but its current refining-margin benchmark is higher. That means H1 2026 earnings strength is not simply a result of running at the highest utilisation.

PEER-DATA
CAUTION

Dangote’s reported GRM and the peer companies’ refining or refining-and-marketing measures are not identical. We use them as context, not as a perfect like-for-like comparison.

09 — GROWTH & FUNDING

09 — Growth & Funding

The refinery is profitable, but the expansion programme is still very large.

\$14.30B TOTAL EXPANSION PROGRAMME	\$11.80B REMAINING THROUGH 2028	\$1.40B NET DEBT	\$1.55B IPO NET PROCEEDS
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Period	Remaining expansion spending
H2 2026	\$4.80B
2027	\$3.90B
2028	\$3.10B
Total	\$11.80B

H1 2026 cash was about \$4.27B against gross debt of \$5.67B, leaving net debt of about \$1.40B in the project model.

**FUNDING
QUESTION**

The IPO proceeds are not enough to fund the whole expansion programme. The investment case therefore depends on the refinery generating enough cash and retaining access to financing while the next phase is built.

10 — VALUATION

10 — Valuation

The valuation question is what the ₦525 price is already asking the business to deliver.

₦525 IPO PRICE	\$47.82B EQUITY VALUE	\$49.22B BUSINESS VALUE	10.0× BASE EV / EBITDA
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Our model uses a 10× EV/EBITDA framework. At a \$49.22B business value, that requires about \$4.92B of sustainable operating earnings.

H1 2026 operating earnings are about \$2.60B. Doubling that for a simple annualised run-rate gives about \$5.20B. The difference is only about \$280M.

THE KEY VALUATION NUMBER	\$4.92B required versus \$5.20B annualised means the model has only about \$280M of headroom. That is the cushion we are testing in the scenarios.
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The same valuation bridge gives about 9.5× annualised H1 EBITDA and 13.1× annualised H1 net profit. The 10× multiple is our assumption, not a company target.

11 — SCENARIO ANALYSIS

11 — Scenario Analysis

We changed the refining margin and EBITDA assumptions to see how much the implied price moves.

Scenario	GRM	EBITDA	Implied price	Upside / downside
Stress	\$12.00/bbl	\$3.00B	₦314	-40.2%
Bear	\$15.00/bbl	\$3.50B	₦369	-29.7%
Base	\$18.00/bbl	\$4.20B	₦446	-15.1%
Strong	\$21.00/bbl	\$5.00B	₦534	+1.6%
Bull	\$24.50/bbl	\$5.50B	₦588	+12.1%

The Base case is below ₦525. The Strong case is only slightly above it. The Bull case assumes the H1 2026 margin level continues. This is why the report focuses so heavily on margin sustainability.

HOW TO USE THE SCENARIOS

These scenarios are not predictions. They simply show what happens to the valuation when the operating environment changes.

12 — RISK ANALYSIS

12 — Risk Analysis

Most of the key risks come back to one question: can strong earnings continue while the company spends heavily on expansion?

Risk	Impact	What could happen
Crude supply	High	Lower or more expensive feedstock could reduce throughput and margins.
Expansion execution	High	Delays could push back the earnings from new capacity.
Expansion funding	High	The remaining \$11.80B programme is large.
FX	High	The business earns and spends across different currencies while the share price is in naira.
Margin normalisation	High	A fall from \$24.50/bbl would directly pressure earnings.
Debt cost	Medium	Higher funding costs could reduce profits and cash available for expansion.
Product demand	Medium	Domestic and export demand affect realised prices.
Tax / regulation	High	Changes could reduce after-tax earnings.
Related-party transactions	Medium	Concentrated ownership makes disclosure and governance important.
Valuation multiple	High	A lower market multiple can offset higher earnings.

MAIN RISK TO WATCH

The biggest risk to the valuation is margin normalisation. If the \$24.50/bbl H1 2026 margin proves unusually strong rather than sustainable, the earnings base used to support ₦525 becomes harder to maintain.

13 — INVESTMENT THESIS

13 — Investment Thesis

The positive case and the reasons to stay cautious can both be true at the same time.

WHAT SUPPORTS THE CASE

- 83.6% H1 2026 utilisation.
- \$13.91B H1 2026 revenue.
- \$1.82B H1 2026 net profit.
- Positive operating cash flow.
- Strong export capability and large installed capacity.
- Potential 1.4M bpd future platform if expansion is completed successfully.

WHAT COULD BREAK THE CASE

- Refining margins fall toward the Base or Bear cases.
- Utilisation drops from current levels.
- Expansion costs rise or projects are delayed.
- Financing becomes more expensive.
- FX or regulatory changes reduce returns.
- The market applies a lower valuation multiple.

OUR FRAMING

The project is not built around the idea that Dangote must fail. It is built around the idea that the price has to leave enough room if conditions become less favourable.

14 — FINAL INVESTMENT VIEW

14 — Final Investment View

The conclusion follows directly from the numbers in the dashboard.

WAIT / WATCH PROJECT VIEW	₦446 BASE CASE	₦525 IPO PRICE	-15.1% BASE CASE VS IPO
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The refinery has shown a very strong turnaround. That part of the story is supported by the numbers. The question is the price investors are being asked to pay for that improvement.

WHAT THE MODEL SAYS	At ₦525, our Base case of ₦446 is below the offer price. The Strong case reaches ₦534 and the Bull case reaches ₦588, but both require a more favourable earnings environment.
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For this project, the current view is WAIT / WATCH. We would want to see continued high utilisation, a more normal but still healthy refining margin, strong cash generation and disciplined expansion spending before treating the current price as comfortably supported.

This is a project conclusion, not a prediction of what the share price will do after listing.

15 — METHODOLOGY & LIMITATIONS

15 — Methodology & Limitations

A few rules were kept throughout the project so the analysis stays honest.

1. No invented data. If we did not have a reliable volume, price or peer metric, we did not create one.
2. Annualised H1 is not a forecast. $H1\ 2026 \times 2$ is only a run-rate used for valuation.
3. The $10\times$ EV/EBITDA multiple is our assumption. It is not a company target.
4. Peer margins are not perfectly comparable. We show the definitions as collected and use them for context.
5. Product data was corrected. CBFS, LPG and propane were added so product revenue reconciles to H1 2026 total revenue.
6. The cash-flow discrepancy remains documented. We did not quietly overwrite the model.
7. Data ends at H1 2026. Events after that period are new information points rather than something we retrofit into the historical analysis.

**WHAT THIS
REPORT IS NOT**

This is independent analytical work for research and educational purposes. It is not a prospectus, solicitation, personalised investment recommendation or guarantee of future performance.

16 — DASHBOARD REVIEW

16 — Dashboard Review

The Power BI dashboard and this report use the same project model.

The six dashboard pages are the visual summary of the analysis. The dashboard is included at the end of this report so readers can compare the written analysis with the visuals.

01 — IPO AT A GLANCE	Offer price, equity value, business value, earnings turnaround, product revenue and operating momentum.
02 — OPERATING PERFORMANCE	Revenue growth, crude throughput, profitability turnaround and cash flow.
03 — PEER COMPARISON	Market value, utilisation and refining-margin benchmarks.
04 — GROWTH & FUNDING	Expansion spending, IPO proceeds allocation and funding position.
05 — VALUATION	Scenario implied share prices, valuation multiples and required earnings.
06 — RISKS & FINAL VIEW	Margin normalisation, scenario range, key risks and the project conclusion.

17 — SOURCES & REFERENCE LINKS

17 — Sources & Reference Links

These are the links a reader can use to check where the public information came from.

Nigeria SEC — IPO notice Official SEC notice, investor warnings and approved-channel guidance.	www.sec.gov.ng/for-investors/keep-track-of-circulars/dangote-petroleum-refinery-and-petrochemicals-initial-public-offering/
Dangote IPO official website Official public information and subscription-routing site.	ipo.dangote.com/get-ready
Reuters — IPO facts Offer size, ₦525 price, valuation, capacity and H1 2026 headline figures.	www.reuters.com/business/energy/facts-about-nigerias-dangote-refinery-initial-public-offering-2026-09-14/
Reuters — H1 2026 earnings H1 profit, revenue, fuel-market disruption and exports.	www.reuters.com/business/energy/dangote-profits-europe-fuel-crunch-ipo-tests-investor-appetite-2026-09-15/
Reuters Breakingviews External valuation context and expansion discussion.	www.reuters.com/commentary/breakingviews/dangote-puts-rich-price-refining-scarcity-2026-09-15/
Proshare Independent Nigerian market research and prospectus-based valuation discussion.	proshare.co/articles/the-dangote-refinery-offer-at-n525-and-the-case-for-valuation-discipline
MyStocks Africa Independent investment note and prospectus-based offer figures.	www.mystocks.africa/dangote-ipo/investment-note

Project files used: PostgreSQL star schema, Power BI dashboard, valuation workbook, peer benchmark workbook and the corrected product-revenue dataset. These are the working files behind the analysis and are not treated as external sources.

Publication note: This report is independent research and is not a prospectus or a personalised investment recommendation. Readers should review the approved prospectus and official SEC/issuer information before making an investment decision.

DANGOTE REFINERY | INVESTMENT ANALYSIS

Is ₦525 Fair?

Dangote Refinery IPO — H1 2026 assessment

IPO OFFER PRICE

₦525

per share

Company Value

\$47.82B

Post-IPO equity value

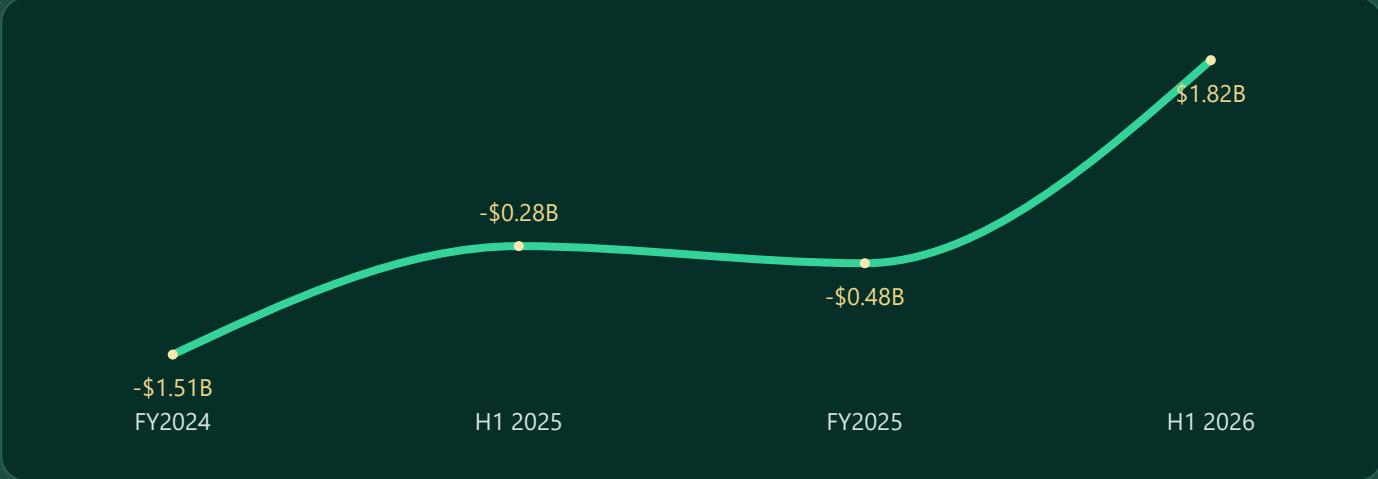
Business Value

\$49.22B

Equity value + net debt

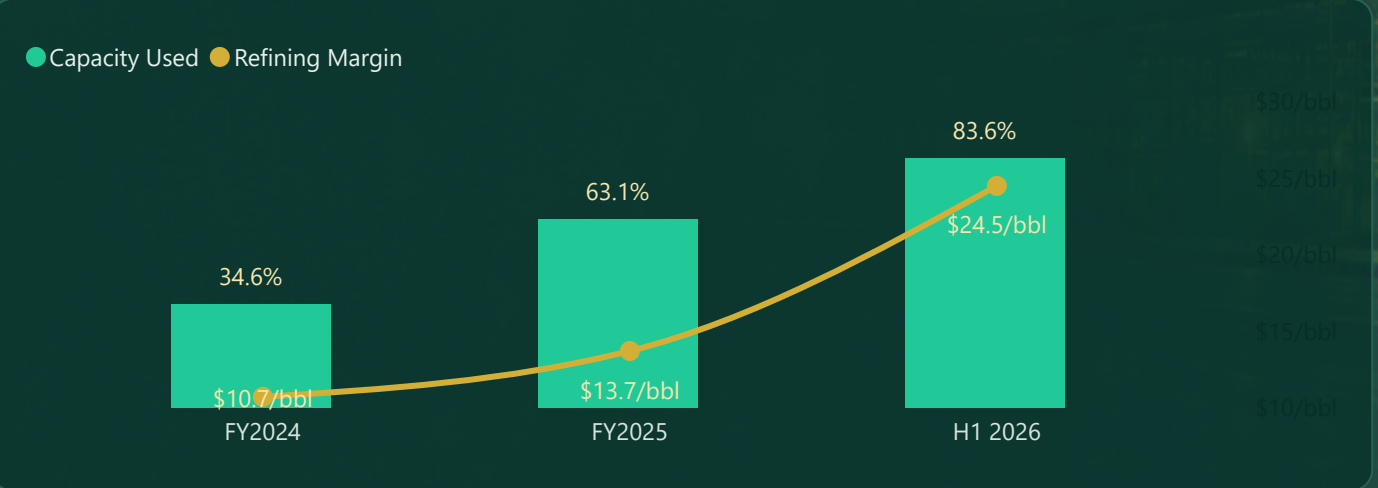
Earnings Turnaround

Net profit moved from losses to \$1.82B in H1 2026



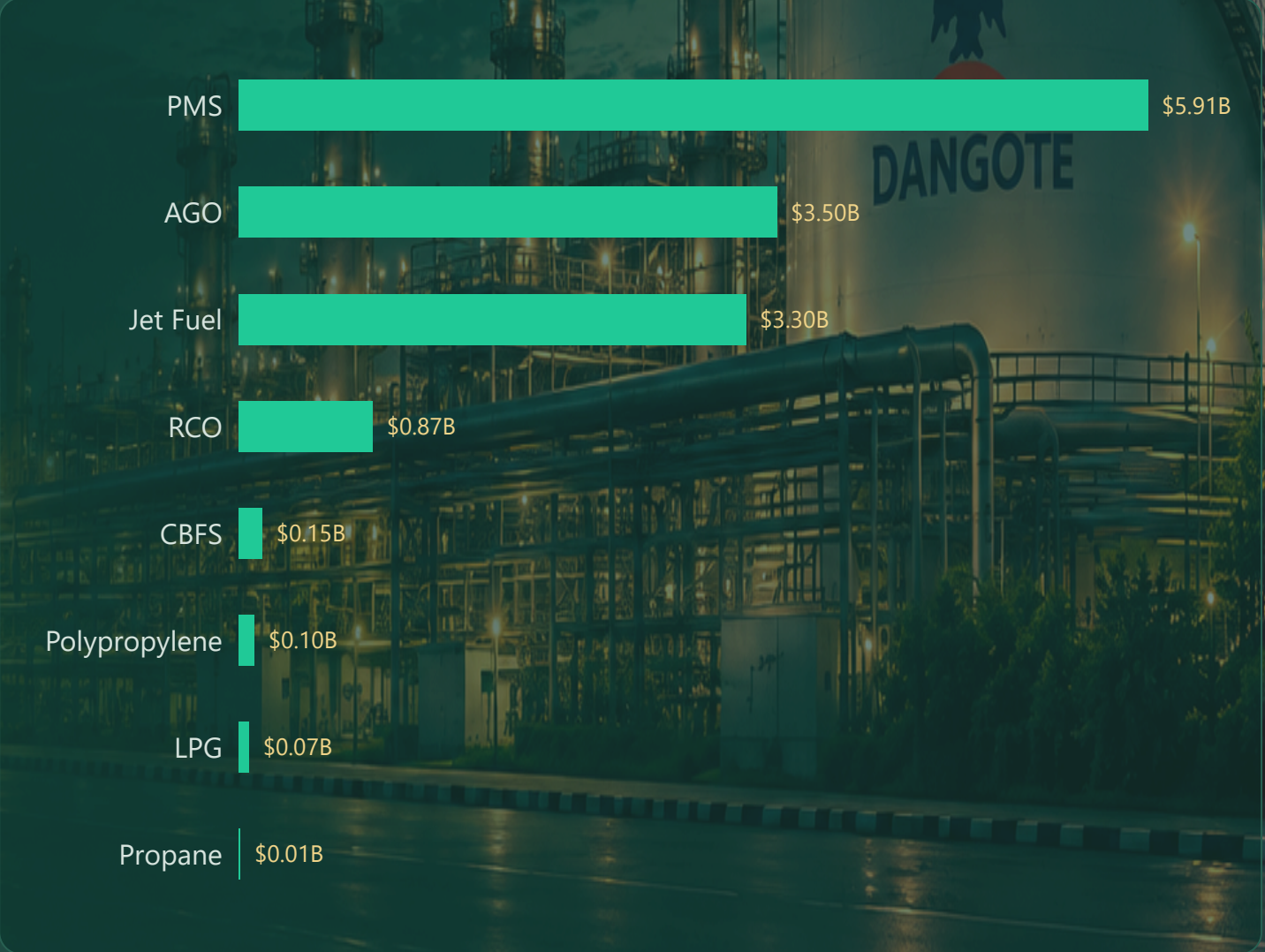
Operating Momentum

Operating Momentum



Revenue Engine

H1 2026 revenue by product



OPERATING PERFORMANCE

How strong and sustainable is the current performance?

Revenue

\$13.91B

H1 2026 revenue

Operating Earnings

\$2.60B

H1 2026 EBITDA

EBITDA Margin

18.7%

Operating earnings / revenue

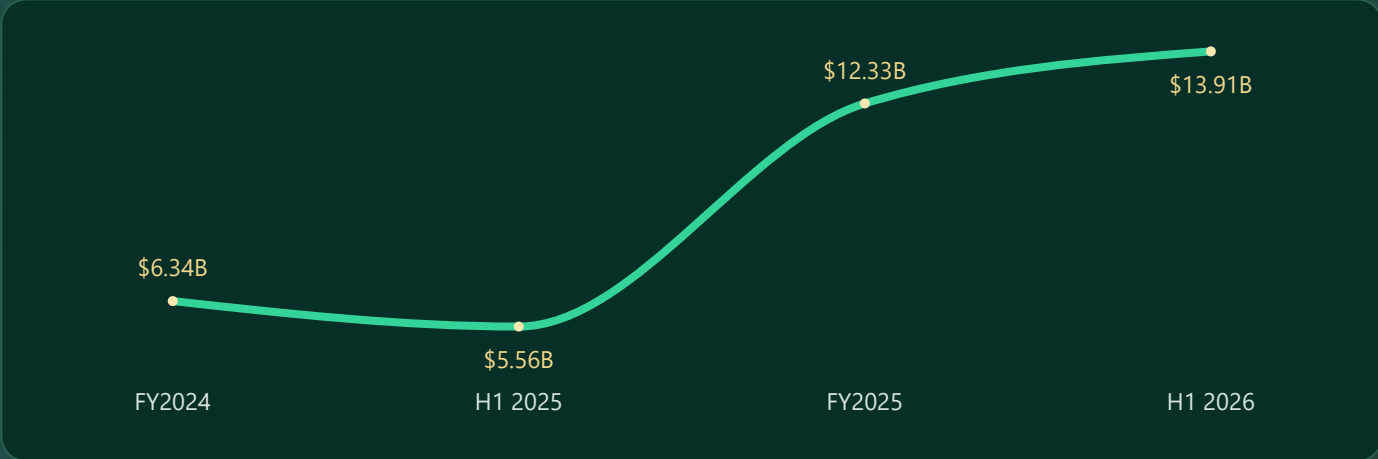
Operating Cash Flow

\$1.27B

Cash generated from operations

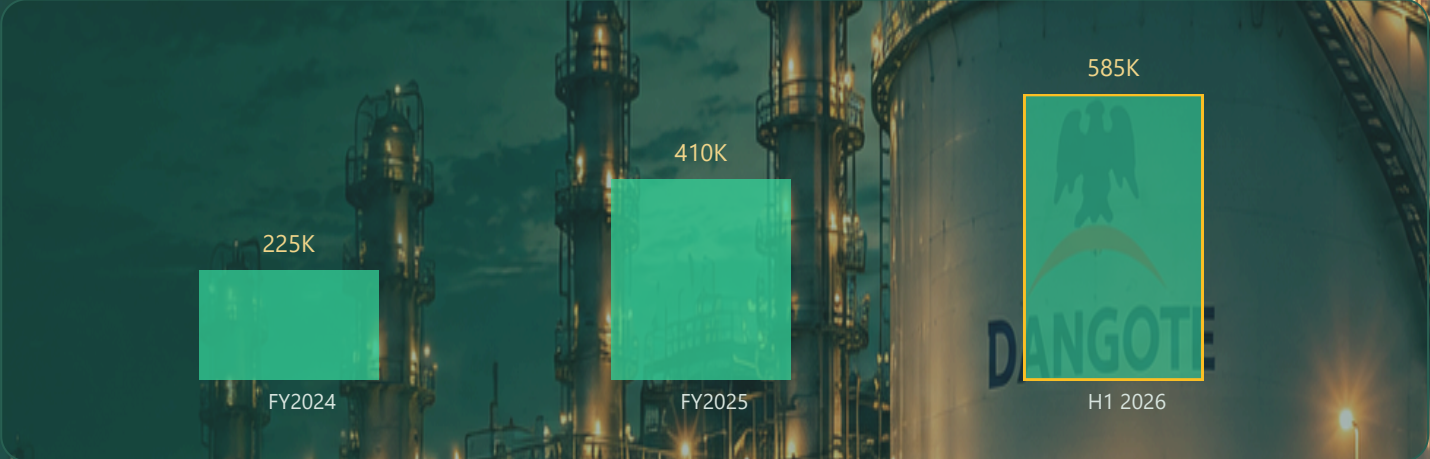
Revenue Growth

H1 2026 revenue has already surpassed FY 2025 full-year revenue



Crude Throughput

Daily crude processing increased sharply as refinery utilization ramped up



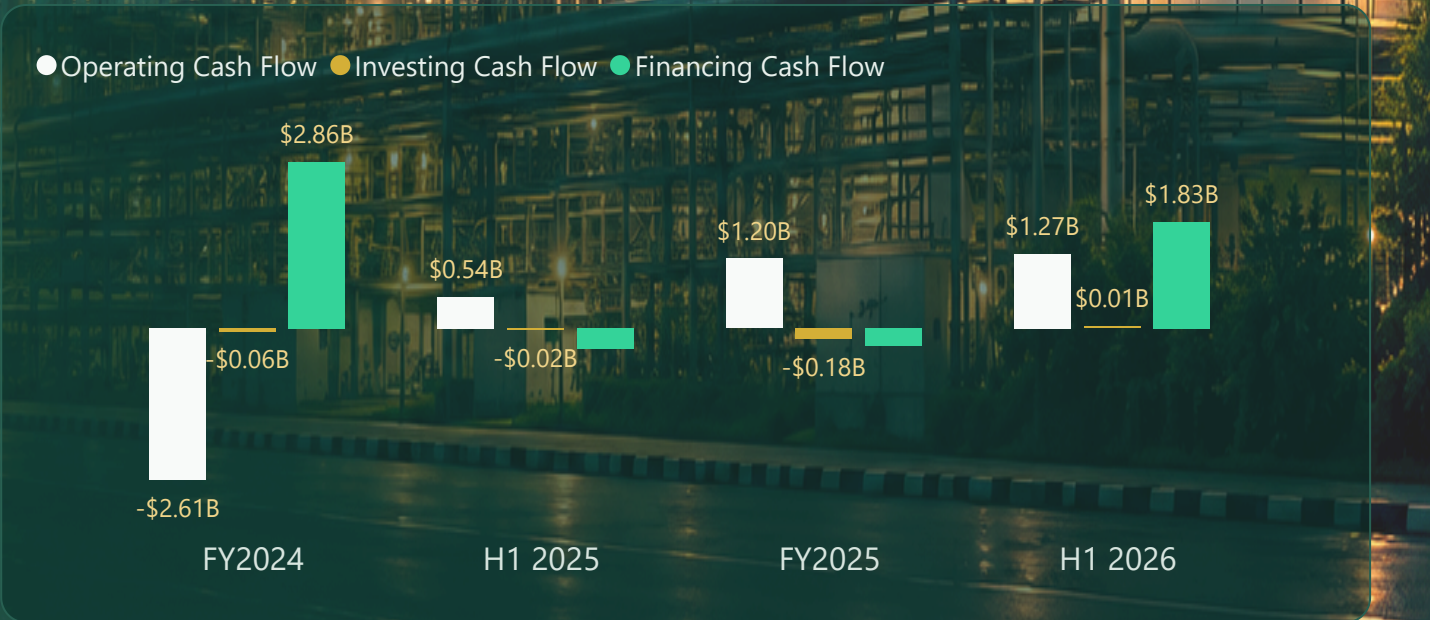
Profitability Turnaround

Gross, operating and net margins improved dramatically as refinery utilization



Cash Flow & Funding

Operating cash generation strengthened as the refinery scaled



PEER COMPARISON

How does *Dangote* compare with global refiners?

Company Value

\$47.82B

Post-IPO equity value

Refinery Capacity

700K

Current capacity (bpd)

Capacity Utilisation

83.6%

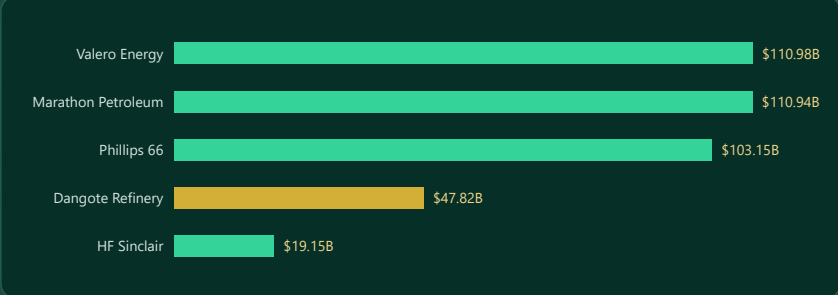
H1 2026 utilization

Refining Margin

\$24.50/bbl

H1 2026 refining margin

Market Value
Dangote enters the market below the largest listed refiners



Capacity Utilisation
Dangote operates below the utilisation levels of all listed peers



Refining Margin Benchmark
Dangote reports the highest margin in the peer set



Source: Dangote Refinery IPO Prospectus & H1 2026 disclosures | Analyst calculations

Data through H1 2026

GROWTH & FUNDING

Can Dangote sustain expansion while maintaining financial flexibility?

Expansion Spending

\$14.30B

Total expansion program

Spending Still Needed

\$11.80B

H2 2026 - 2028

Net Debt

\$1.40B

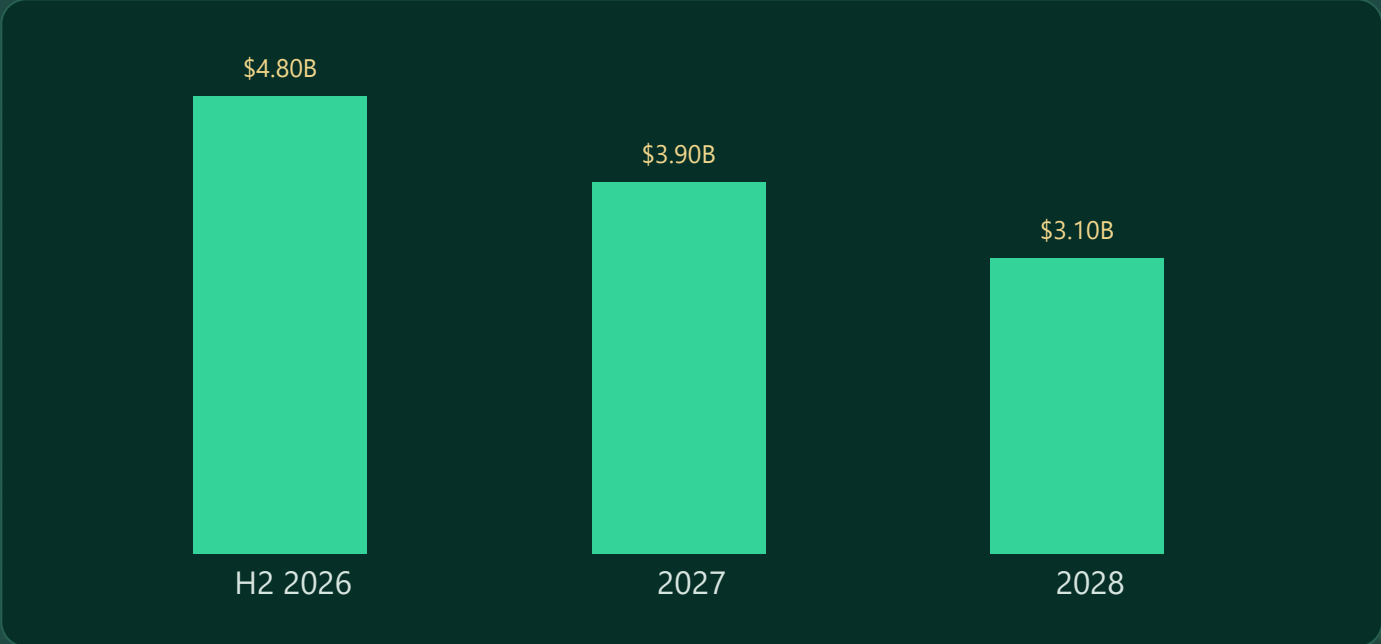
H1 2026

IPO Net Proceeds USD

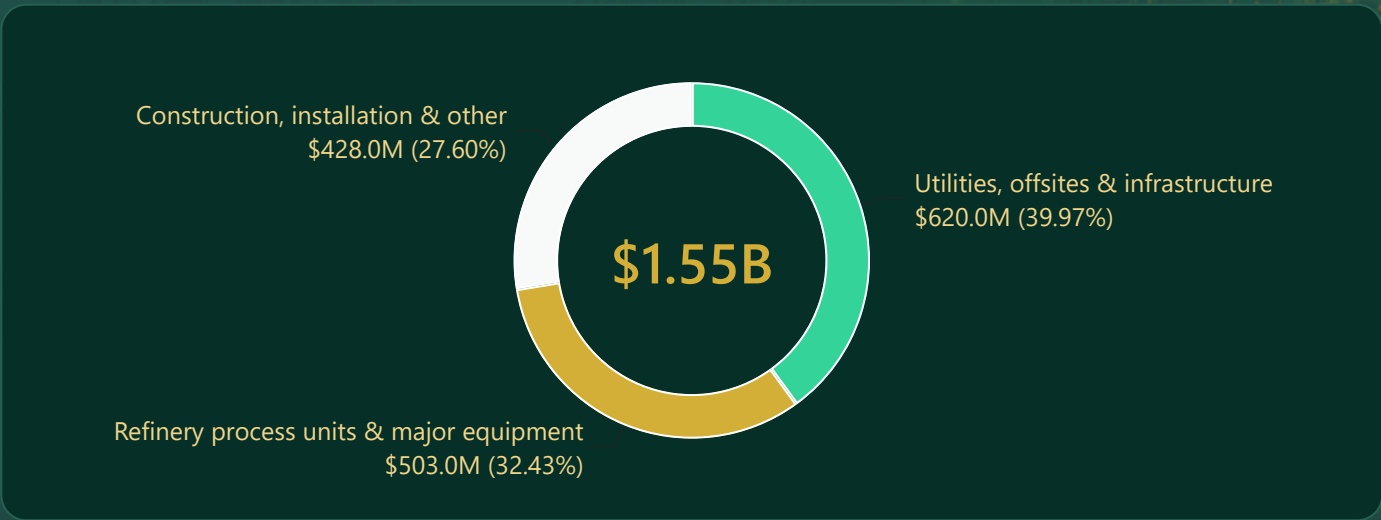
\$1.55B

Net proceeds at prospectus FX

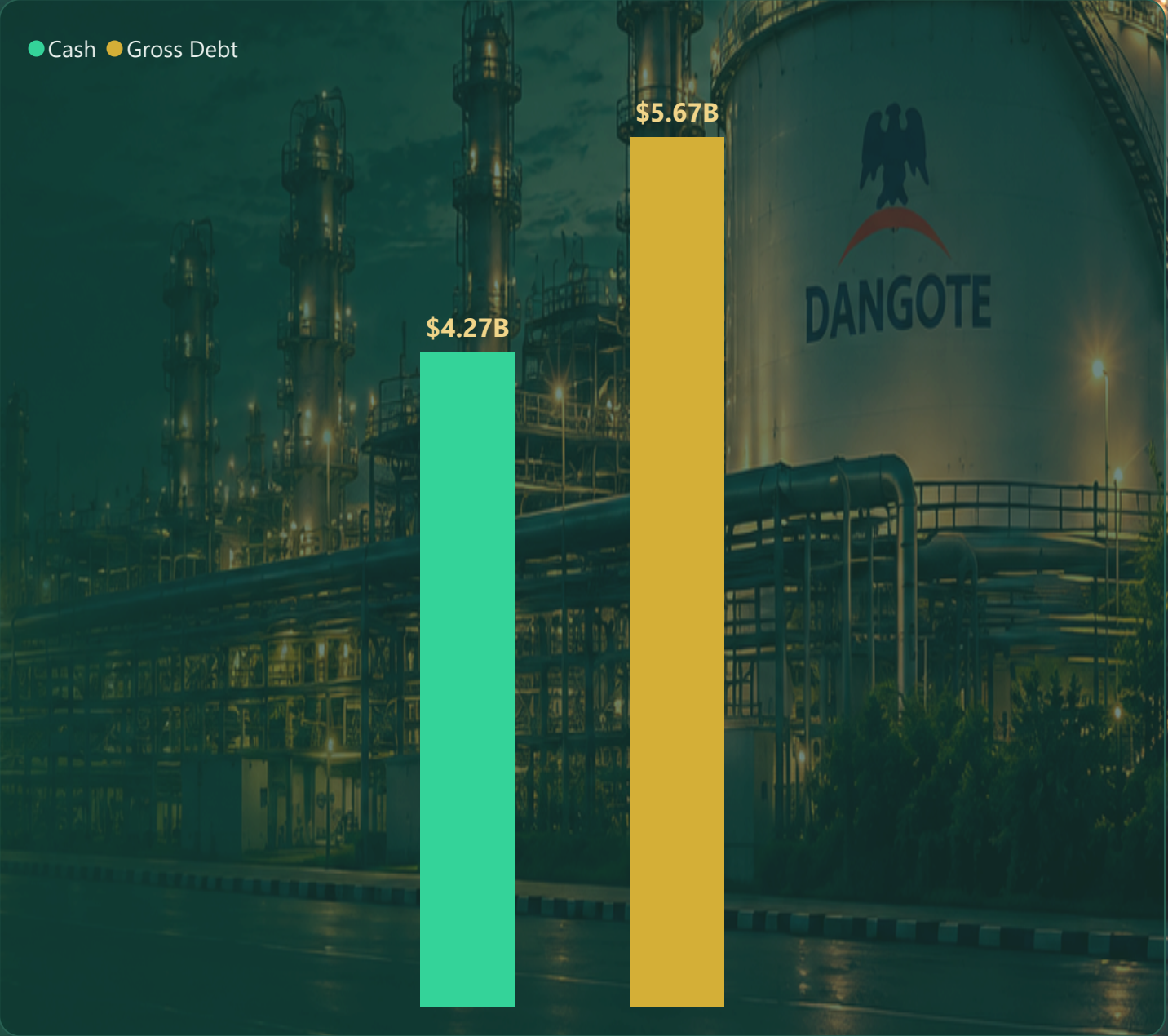
Expansion Capital Program
\$11.8B of expansion spending remains through 2028



IPO Proceeds Allocation
\$1.55B Net proceeds directed to expansion



Funding Position
\$4.27B cash offsets \$5.67B of gross debt



IS ₦525 JUSTIFIED?

What earnings power does IPO price already assume?

IPO OFFER PRICE

₦525

per share

COMPANY VALUE

\$47.82B

Post-IPO equity value

POST-IPO SHARES

124.23B

Shares outstanding

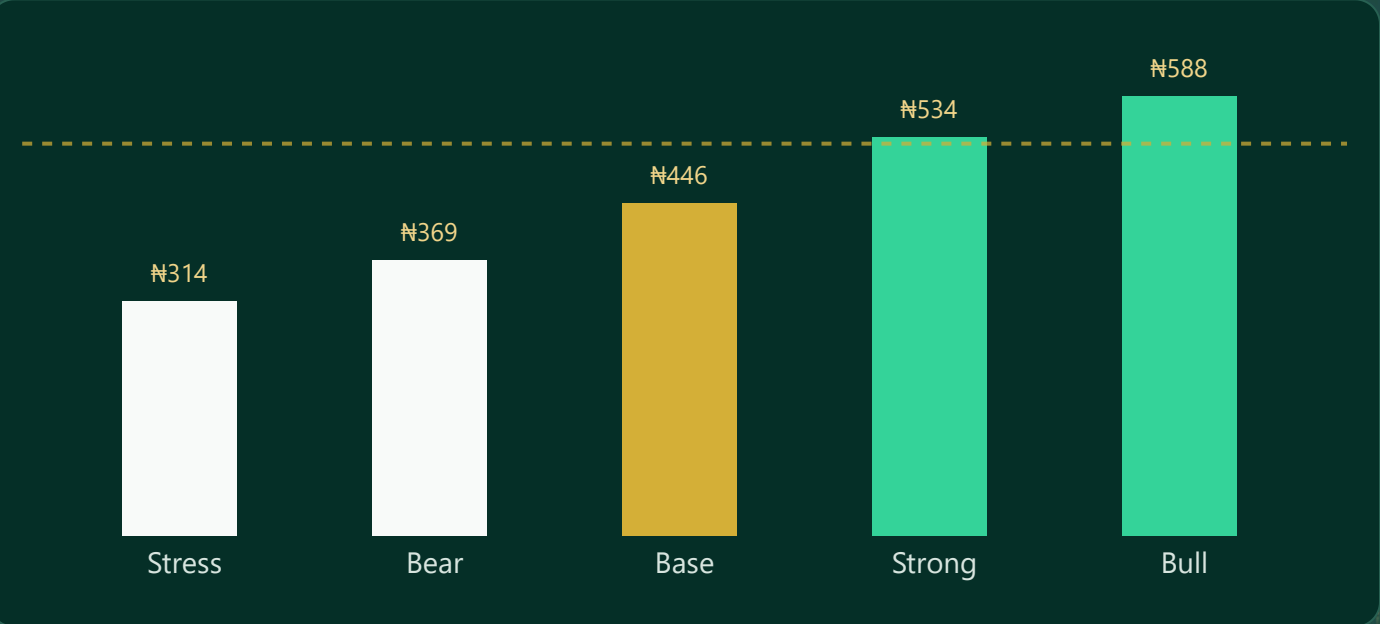
BASE EV / EBITDA

10.0×

Analyst valuation assumption

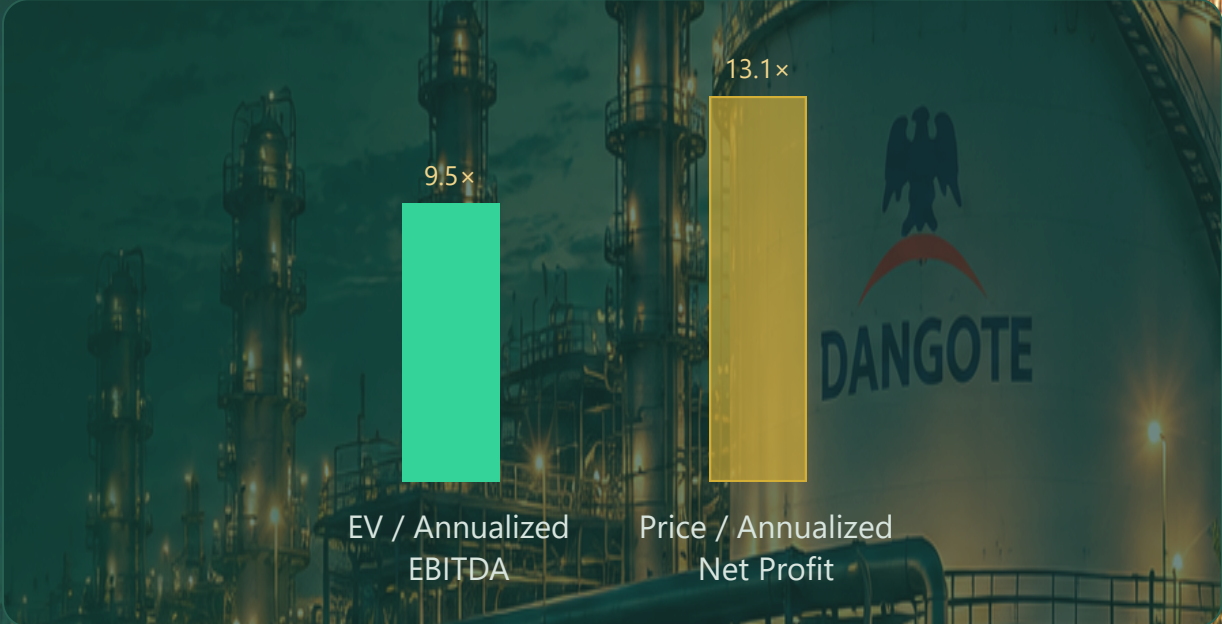
Scenario Implied Share Price

₦525 sits above the base case under the 10× EV/EBITDA framework



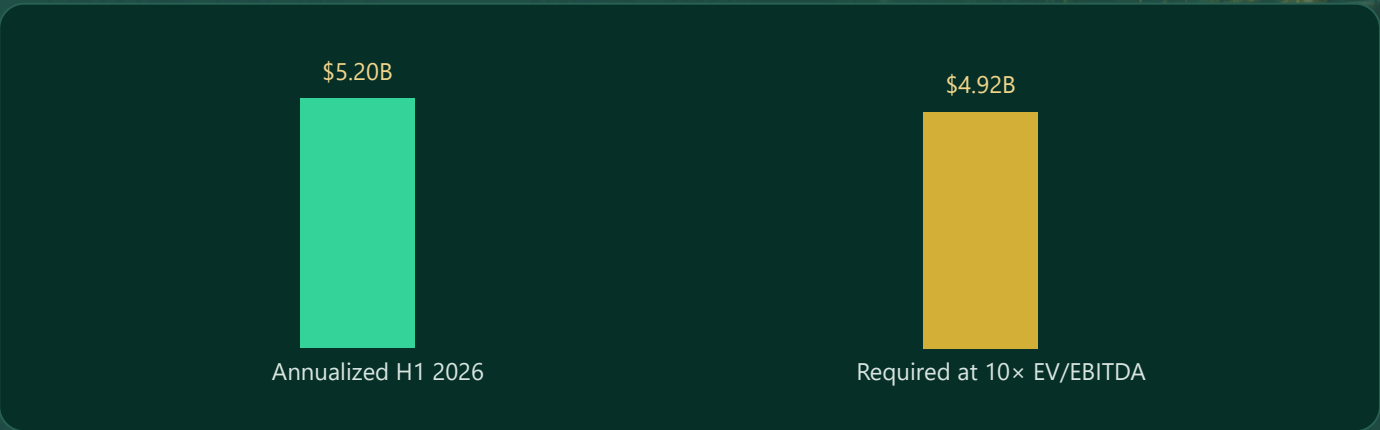
Implied Valuation Multiples

₦525 implies ~9.5× annualized EBITDA and ~13.1× annualized net profit



Required Earnings vs Current Run-Rate

Annualized H1 2026 operating earnings provide only \$280M of headroom over the 10x requirement



Scenario Sensitivity

Higher margins and utilization are required for ₦525 to generate positive upside

Scenario	GRM (\$bbl)	EBITDA (\$B)	Implied Price (₦)	Upside / Downside (%)
Stress	12.00	3.00	₦314	-40.19
Bear	15.00	3.50	₦369	-29.74
Base	18.00	4.20	₦446	-15.10
Strong	21.00	5.00	₦534	1.64
Bull	24.50	5.50	₦588	12.09

INVESTMENT CONCLUSION

WHAT COULD BREAK THE ₦525 THESIS?

Key risks, downside scenarios and the final investment view

Refining Margin

\$24.50/bbl

H1 2026 gross refining margin

Base Case Downside

-15.1%

Implied value vs ₦525 IPO price

Spending Still Needed

\$11.80B

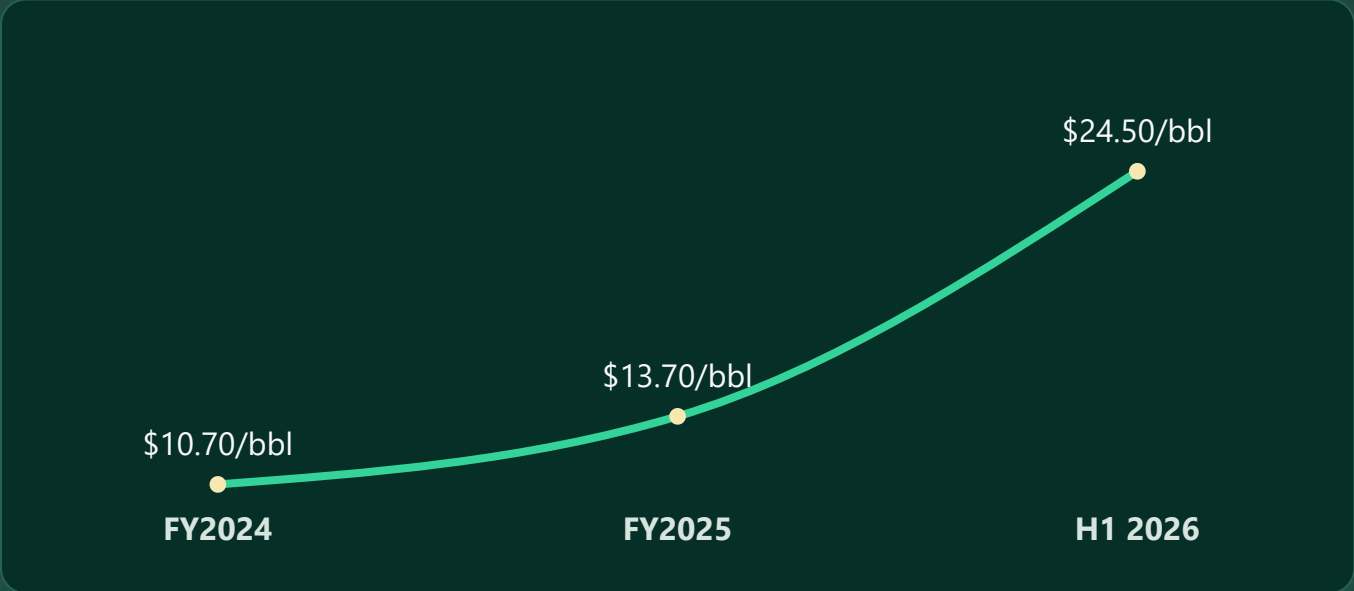
Expansion capex through 2028

Net Debt

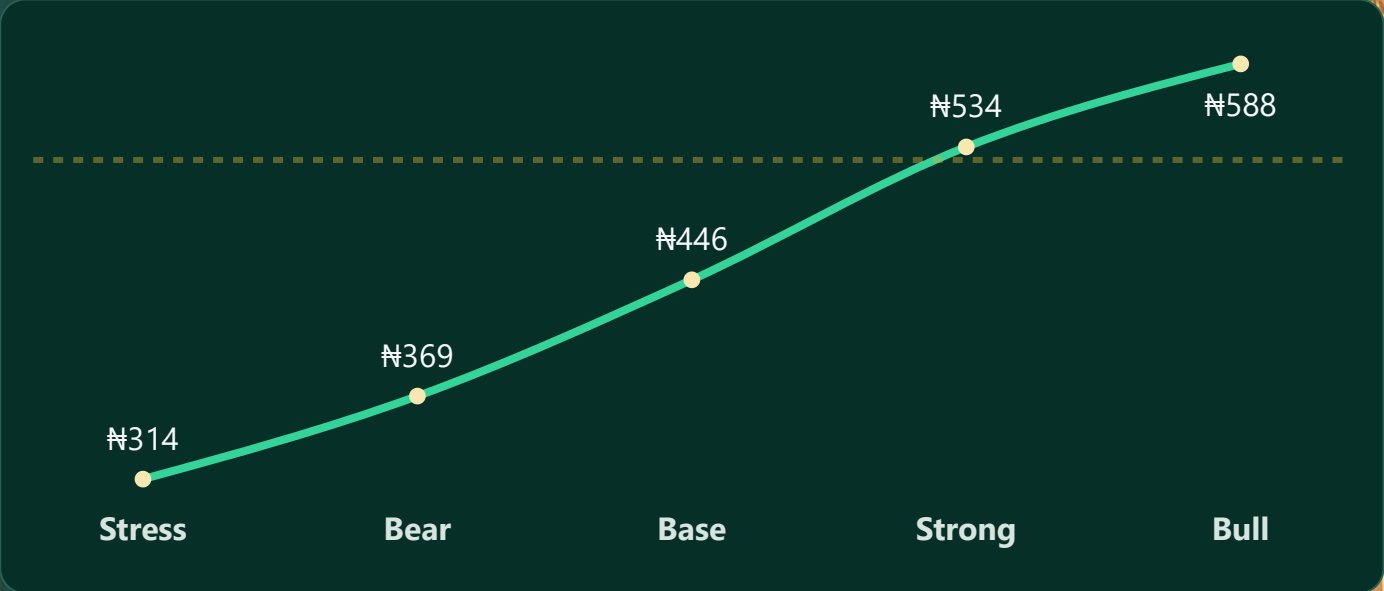
\$1.40B

H1 2026 net debt

REFINING MARGIN NORMALISATION
H1 2026 margins are materially above the 2025-25 range



IMPLIED SHARE PRICE RANGE
Only the Strong and Bull cases support or exceed the ₦525 IPO price



KEY INVESTMENT RISKS
The valuation is most sensitive to margin, funding and execution risk

Risk Name	First potential_impact
Crude Supply Risk	High
Execution and Commissioning Risk	High
Expansion Funding Risk	High
Foreign Exchange Risk	High
Interest Rate and Debt Cost	Medium
Product Price and Demand Risk	Medium
Refining Margin Normalisation	High
Related-Party Transactions	Medium
Tax Regime Transition	High
Valuation Multiple Risk	High

INVESTMENT VIEW

WAIT / WATCH

₦525 leaves limited margin of safety unless H1 2026 earnings power proves sustainable.

SUPPORTING THE CASE

- 83.6% H1 2026 utilization
- ~\$5.20B annualized operating earnings
- Strong current refining margins

BREAKING THE THESIS

- \$24.50/bbl refining margin may normalize
- \$11.80B expansion spending remains
- Base-case value of ₦446 remains below ₦525